

Question #1 of 16

Question ID: 1473998

A risk-averse investor is *most likely* to desire which of the following attributes of a multivariate return distribution?

- A) Excess kurtosis.
 - B) Negative skewness.
 - C) Positive skewness.
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Question #2 of 16

Question ID: 1473989

Which of the following *most accurately* describes the steps in backtesting an investment strategy?

- Obtain estimates of the regression parameters, determine the assumed values of
 - A) the independent variables, and compute the predicted value of the dependent variable.
 - B) Strategy design, historical investment simulation, and analysis of output.
 - C) Conceptualization of the modeling task, data collection, data preparation and wrangling, data exploration, and model training.
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Question #3 of 16

Question ID: 1474000

In conducting a sensitivity analysis, an analyst is *most likely* to take fat tails and negative skewness into account by repeating a Monte Carlo simulation using a multivariate:

- A) Bernoulli distribution.
 - B) skewed Student's t -distribution.
 - C) normal distribution.
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Question #4 of 16

Question ID: 1473993

Which of the following is the *least likely* to result from using information that would have been unavailable at the time of the investment decision?

- A) Data snooping.
 - B) Look-ahead bias.
 - C) Survivorship bias.
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Question #5 of 16

Question ID: 1473994

Bill Cassidy, CFA, is the portfolio manager for Applied Logistics pension fund. Cassidy is meeting with Alex Swary, the senior quantitative analyst, to discuss the results of backtesting of a model developed by Swary. The model uses several factors in selecting stocks, including EPS growth over the past year, the industry competitiveness index, and price-to-book ratio. The model makes picks on the first trading day of each calendar year with annual rebalancing.

While evaluating the results of backtesting, Cassidy should be *most likely* concerned with:

- A) survivorship bias.
 - B) data snooping bias.
 - C) look-ahead bias.
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Question #6 of 16

Question ID: 1473987

Which of the following statements about backtesting an investment strategy is *least* accurate? Backtesting:

- A) is incompatible with quantitative and systematic investment styles.
 - B) is based on the implied assumption that the future will somewhat resemble history.
 - C) can take the randomness of the future into account.
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Question #7 of 16

Question ID: 1473995

Which of the following *most accurately* describes a scenario analysis?

- A)** Backtesting a model during periods of high volatility and periods of low volatility.
 - B)** Backtesting a model using U.S. market data as well as using the European market data.
 - C)** Backtesting a model for large-cap securities as well as for medium-cap securities.
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Question #8 of 16

Question ID: 1473986

Which of the following statements about backtesting an investment strategy is *least* accurate? Backtesting is:

- A)** a new methodology that is slowly gaining acceptance in the investment community.
 - B)** widely used by managers that use a fundamental investment style.
 - C)** useful as a rejection or acceptance criterion for an investment strategy.
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Question #9 of 16

Question ID: 1473988

Which of the following *most accurately* describes a step in backtesting an investment strategy?

- A)** In the “strategy design” step, we form investment portfolios for each period.
 - B)** In the “historical investment simulation” step, we calculate portfolio performance statistics.
 - C)** In the “historical investment simulation” step, we rebalance the portfolio periodically.
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Question #10 of 16

Question ID: 1473991

Which of the following metrics are *most likely* to be reported in a backtest of an investment strategy?

- A)** Altman Z-score, Sloan ratio, and Beneish M-score.

- B) Maximum drawdown, Sharpe ratio, and Sortino ratio.
 - C) Enterprise value, volume, and market capitalization.
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Question #11 of 16

Question ID: 1473992

Which of the following identifies problems that are *most likely* to arise in a backtest of an investment strategy?

- A) Survivorship bias, look-ahead bias, and data snooping.
 - B) Including lagged dependent variables as independent variables.
 - C) Heteroskedasticity, serial correlation, and multicollinearity.
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Question #12 of 16

Question ID: 1473985

Which of the following statements about backtesting an investment strategy is *least* accurate? Backtesting:

- A) approximates the real-life investment process.
 - B) ensures that a strategy will perform well in the future.
 - C) lends rigor to the investment process.
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Question #13 of 16

Question ID: 1473999

In the historical simulation approach, bootstrapping is *most likely* to be used when:

- A) zero-coupon rates are available but par yields are unknown.
 - B) the number of trials is larger than the dataset.
 - C) a merger transaction impacts earnings.
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Question #14 of 16

Question ID: 1473997

In the presence of return distribution asymmetry and excess kurtosis, the *most* appropriate approach would be to make use of a Monte Carlo simulation using a:

- A)** normal distribution.
 - B)** skewed Student's *t*-distribution.
 - C)** F-distribution.
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Question #15 of 16

Question ID: 1473990

A rolling-window backtesting is *most accurately* described when:

- A)** a data set is divided into two distinct samples.
 - B)** the out-of-sample data becomes the in-sample data for the subsequent period.
 - C)** repeated sampling from the same data set leads to the use of redundant sources.
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Question #16 of 16

Question ID: 1473996

Which of the following is *least likely* an example of historical stress testing?

- A)** Backtesting the performance of the strategy during the high market return period of 2017–2018.
- B)** Backtesting the performance of the strategy, assuming that the CBOE VIX Index is greater than 55.
- C)** Backtesting the performance of the strategy during the great recession, a period following the global financial crisis of 2008.